

**CHAROTAR UNIVERSITY OF SCIENCE & TECHNOLOGY (CHARUSAT)**  
**MASTER OF BUSINESS ADMINISTRATION (MBA) /**  
**POST GRADUATE DIPLOMA IN MANAGEMENT (PGDM)**  
**SEMESTER – IV – UNIVERSITY EXAMINATION, MAY 2018**  
**MB838.3: INTERNATIONAL HUMAN RESOURCE MANAGEMENT**

**Date: 19/05/2018 (Saturday)**

**Time: 10:00AM to 01:00PM**

**Total Marks: 70**

**Instructions:**

1. This paper contains six questions.
2. All questions are compulsory.
3. Each of the first five questions will carry 10 marks totaling to 50 marks. Question No. 6 is a case analysis carrying 20 marks.

- Q.1** Expatriation is a process of moving from one's home country to a new one on a temporary international assignment. Though international jobs are more fascinating, challenging and lucrative, many of the expatriates fail to successfully complete the international assignment due to many internal and external factors. **10**
- Identify and list the various factors responsible for an expatriate failure.
- Q.2** Anil who was of Indian origin was very happy being relocated to Japan along with his family on an international assignment for a period of five years. He enjoyed his initial days of stay in the new country, but slowly started getting conscious about various aspects of the new work life. He could not ignore the different attitude of some local people towards him. Though he was focused and determined to finish his assignment, he could sense the differences in his home country culture and the Japanese culture. He realized that he was experiencing the cultural shock which most of the time is an experience an international assignee may have on moving to a cultural environment which is different from his own **10**
- In the light of this example, describe the phenomenon of cultural shock, with the help of cultural shock cycle. Include relevant examples wherever applicable.
- Q.3** Joseph 32 is an Indian working with a very well established multinational firm. He was identified as perfect match for a foreign assignment by his firm. But Joseph never had any experience of the country he was supposed to go in the near future. He was aiming to relocate with his wife and two school aged children. As every expatriate is expected to undergo a Pre-departure Training before he/she leaves for an international assignment, Joseph also is in need of the pre-departure training. Further, cross-cultural training significantly becomes a prominent part of this pre-departure training. **10**
- Discuss the various approaches of cross-cultural training in accordance with the length of international stay and length of training of an international assignee like Joseph.
- Q.4** International compensation refers to all forms of monetary and non-monetary rewards the employee on an international assignment would receive in exchange of his/her expertise and work. **10**
- Discuss the factors/components to be considered while drafting an international compensation plan for an expatriate on international assignment.
- Q.5** Anitha and her family had happily returned to their home country after nine years of stay in different locations across the world. Anitha was a bright employee chosen for an international assignment for three years by her firm, which was then extended to six more years in two other countries. After completing all the international assignments, Anitha **10**

was repatriated to her home country where she was supposed to continue her career with her firm. Though repatriation was a good feeling, Anitha and her family shortly realised that things were not the same as they left nine years ago. Thus re-entry into the home country has presented new challenges to Anitha on her repatriation. This might be because, while people expect life in a country to be different, they may be less prepared for a possible problem of adjustment upon home-coming. As a consequence, it can be traumatic experience for many repatriates. This has given rise to many challenges for the repatriating individuals as well as the organizations they belong to.

List the Individual and Organizational level challenges involved in the process of repatriation.

**Q.6** Astral Software Limited is a fast growing software company in India. It defines designs and delivers technology-enabled business solutions to its clients. It has a global presence through strategic alliance with leading technology providers located in different parts of the world. In fact, it conducts its global operations through its 22 overseas offices located in countries like the USA, UK, Australia, China, Poland, South Africa, the Philippines and Argentina.

20

The company has 15,000 employees, of which 3200 are expatriates on an international assignment at any point of time. It has an international HR division as part of the well-developed HR department to prepare, expatriate and repatriate the employees linked to foreign assignments. The HR department of this company is managed by Mr. Pranav Kumar, director (HR).

The International Human Resource (IHR) division, headed by AGM (IHR) Mr. Srinivas Patel, is responsible for identifying, training, orienting and compensating the expatriate employees. It is also responsible for evaluating the performance of the expatriate on overseas missions.

Since Astral Software gets a sizeable portion of its income from overseas operations, it has spent a considerable amount of time and resources to develop a global HR system. Yet, the international division of this company faces a few specific problems like high employee attrition among expatriates and a high cost of maintaining them on international assignments. An employee satisfaction survey conducted among the expatriates revealed employee dissatisfaction over performance evaluation and pay differences. Some of the expatriates complained that the IHR division was ignoring the dissimilarity in the expatriate assignments and foreign situation while evaluating the performance of the expatriate employees in the same positions posted to different countries.

As such the international performance management tools have failed to recognize the country-or-region-specific difficulties in job performance. Another major problem associated with the expatriate assignment is the high cost of maintaining expatriates on overseas jobs. Astral Software estimated this as the cost of using local employees. The management also felt that the expatriates often overemphasized short-term results rather than the necessary long-term results since they were aware that they would be working in the foreign assignment only for a few years.

The management sought the view of the HR department about the expatriate problems and instructed it to develop strategies to surmount them. The HR department forwarded the letter to the IHR division for its views and responses. Mr. Patel, in his reply, defended both the performance evaluation system for expatriates and the practice of deputing parent-country employees. Regarding performance evaluation, he maintained that a cross-section of the employees, including expatriates, was consulted while designing the international performance standards and evaluation techniques. Thus, the international

performance management system was objective and comprehensive. As regards, the high cost associated with the expatriate employees, he wanted the present system to continue in the future despite managerial vacancies. According to him, the expatriate system enabled the company to have a better and direct control over the foreign branches.

When his response was placed before the management, there was a sense of disappointment among the top managers. This was because the response from IHR division was devoid of any concrete solution. Understandably, the management was seriously pondering its next move.

- a. What are the major problems associated with Astral Software Ltd.? What would be the consequences if these problems remain unresolved? **(10)**
  - b. What is your opinion about the response of the IHR division to the queries raised by the management? **(10)**
-